worried about quarterly earnings, meeting market expectations, stuffing sales channels, pursuing aggressive accounting treatments, or withholding long-term investments to improve reported short-term results. To better understand management's incentives, I start with the proxy statement and look for changes year to year. Is the basis for management compensation and stock option awards sensible? Are they being measured for enduring accomplishments or instead for favorable short-term share price fluctuations that could be purely the result of luck or even manipulation? Do they reward actual returns on capital or simply profitless growth? Do they create asymmetric upside for the CEO for taking outsized risks? Is the CEO regularly selling his or her shares for "personal reasons," or are they acting like a true owner and fiduciary? If the company were private, how different would the structure of the CEO's compensation and incentives be?

Market pundits can focus excessively on the absolute level of management compensation rather than the context of what was required to achieve that compensation. High absolute compensation can be warranted when it rewards the achievement of demanding goals and the delivery of exceptional results.

Learn How CEOs Spend Their Time

Time management is also important. I have never met a CEO who is on the road for hundreds of days a year, meeting investors and promoting themselves or their stock—who is fully steeped in the details of their company. Ask yourself, if this were your family business, wouldn't you want your CEO single-mindedly focused on running the business? I want to back CEOs who are focused on substance, not collecting style points.

Perform Scuttlebutt Research on CEOs

Finally, I like to speak to current and former executives who have either reported to the CEO under consideration or have had that